We propose to require a simplified fee summary in the summary section of the prospectus that is designed to improve investor understanding of fees and expenses. The proposed summary fee table would change the current fee table heading "Shareholder Fees" to "Transaction Fees," which we believe is a more plain-English term to describe fees paid each time an investor buys or sells shares of the fund. The line items under the heading "Transaction Fees" would generally encompass the same types of fees that currently appear as line items under the "Shareholder Fees" heading. However, we propose to re-title the line items with more plain-English descriptions, to increase investor comprehension. The proposed line items under the heading "Transaction Fees" that are parallel to line items currently appearing under the heading "Shareholder Fees" include:

- Any "Purchase Charge" to purchase shares, and any "Exit Charge" to sell shares;[562]
- The "Maximum Purchase Charge Imposed on Reinvested Dividends [and Other Distributions]";[563]
- Any "Early Exit Fee," which would show the redemption fee charged for exiting the fund early (and is distinguished from sales charges, which are covered under the "Exit Charge" line item);[564]
- Any "Exchange Fee," which is a charge that may be imposed on an investor who

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562 These line items are currently titled "Maximum Sales Charge (Load) Imposed on Purchases" and "Maximum Deferred Sales Charge (Load)," respectively. *See* Item 3 of Form N-1A; *see also supra* Table 5.

563 This line item is currently titled "Maximum Sales Charge (Load) Imposed on Reinvested Dividends [and Other Distributions]." *See* Item 3 of Form N-1A; *see also supra* Table 5.

564 This line item is currently titled "Redemption Fee." *See* Item 3 of Form N-1A; *see also supra* Table 5.

wishes to move assets from one fund in a fund group to another.[565]

The one line item that currently appears under the heading "Shareholder Fees" that would not appear under the proposed "Transaction Fees" heading is the "Maximum Account Fee." This fee is not a transaction fee, so we are proposing to include it as its own separate heading in the summary fee table.[566]

The fee summary is designed to be a focused presentation of transaction costs and, consequently, we are proposing to instruct funds that any transaction fee equaling $0 should not be included in the summary fee table (and the applicable line item that would appear in Form N-1A should be omitted from the summary fee table).[567] We understand that certain of these fees are not common in practice (*e.g.*, account fees, and increasingly, exit charges). Therefore, even though there are a number of line items that would appear under "Transaction Fees" in Form N-1A, we do not expect that most funds would have to include all of these line items in their fee disclosure. As a result, we do not anticipate that the proposed amendments to the form would detract from the focused nature of the fee summary. While we are proposing to consolidate the line items that currently appear under "Annual Fund Operating Expenses," as we discuss in more detail below, we are not similarly proposing to consolidate the corresponding line items that would appear under "Transaction Fees." The imposition of transaction fees depends on whether an investor buys or sells shares of a fund, and will therefore be different for each investor. Accordingly, consolidation of transaction fees would

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565 This line item title is the same as the line item title that currently appears in Form N-1A under the heading "Shareholder Fees." *See* Item 3 of Form N-1A; *see also supra* Table 5.

566 Proposed Instruction 3 to Item 3 of Form N-1A; *see also supra* Table 5.

567 Proposed Instruction 2 to Item 3 of Form N-1A. However, a multiclass fund that shows a charge and line item because one class imposes a charge may show 0 as the charge for other classes. *Id.*

be confusing to an investor who would be unable to determine whether and when he or she would bear those fees.

For each of the line items under the "Transaction Fees" heading, and the "Maximum Account Fee," a fund would have to indicate the maximum amount that the fee could be (and state that the fee is "up to" the stated amount), if the fund offers sales charge discounts.[568] This presentation would indicate to the reader that the actual sales charge may in fact be lower than the maximum fee disclosed in the fee summary.

The proposed fee summary would change the current fee table heading "Annual Fund Operating Expenses" to "Ongoing Annual Fees." This new heading is designed to convey, in plain English, that there are charges that an investor will have to pay each year. The "Ongoing Annual Fees" entry in the proposed summary fee table would consist of one line item showing the total amount that the investor would pay annually. Rather than an itemized list of Ongoing Annual Fees, this proposed fee presentation would show a total, "bottom line" figure that investors can expect to pay. This is a figure that investors could compare across funds in evaluating the ongoing annual fees associated with each fund.

The proposed summary fee table would, like the current prospectus fee presentation, address expense reimbursements and fee waiver arrangements. If the fund's full fee table in the statutory prospectus were to show an expense reimbursement or fee waiver arrangement (a "discount"), our proposal would permit an additional line item in the proposed summary fee table: "Ongoing Annual Fees with Temporary Discount."[569] This line item would reflect the

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[568] Proposed Instruction 2 to Item 3 of Form N-1A.

[569] Proposed Instruction 4(b) to Item 3 of Form N-1A.

amount of ongoing annual fees after any discount, which would more precisely reflect the fees that the investor will pay while the discount is in place.[570] This line item would appear after the "Ongoing Annual Fees" line item that does not reflect the discount, because we believe that the "gross" figure should be the most prominent, given that expense reimbursement and fee waivers are generally only temporary. Further, we are proposing that this optional Ongoing Annual Fees line item be accompanied by a footnote stating the expected termination date of the discount.[571]

We propose to require that each line item in the summary fee table show the cost investors could pay in dollars assuming a $10,000 investment, as well as the same charge shown as a percentage of assets.[572] Research suggests that investors may better appreciate the impact of costs when expressed as a dollar amount rather than a percentage of assets.[573] While

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570 *See* current Instruction 3(e) to Item 3 of Form N-1A. Based on XBRL data filed on the EDGAR system as of June 1, 2019, of the more than 32,000 fund classes, approximately 53% described a fee waiver in the prospectus fee table.

The proposed line item would be permitted, not required, just as the current provision on expense reimbursements or fee waivers is also permissive. *Id*. We believe that, as a practical matter, a fund would likely choose to disclose the ongoing annual fees with the expense reimbursements or fee waivers because that would be a lower amount than ongoing annual fees without those reductions.

571 Instruction 4(b) to Item 3 of proposed Form N-1A; *see also supra* Table 5.

572 Proposed Instruction 2, proposed Instruction 3, and proposed Instruction 4(c) to Item 3 of Form N-1A.

573 *Cf.* Numerical Information Format and Investment Decisions: Implications for the Disposition Effect and the Status Quo Bias, Rubaltelli et al., The Journal of Behavioral Finance, 2005, Vol. 6, No. 1, 19–26); *see also* Government Accountability Office, Statement of Richard J. Hillman, Director, Financial Markets and Community Investment before the U.S. Senate Committee on Governmental Affairs Subcommittee on Financial Management, the Budget and International Security, "Mutual Funds: Additional Disclosures Could Increase Transparency of Fees and Other Practices," (Jan. 27, 2004), *available* at http://www.gao.gov/assets/120/110547.pdf; Justine S. Hastings & Lydia Tejeda-Ashton, Financial Literacy, Information, and Demand Elasticity: Survey and Experimental Evidence

this proposed addition would add some marginal length to the fee summary, we do not believe the length is inappropriate when balanced against the need to communicate the impact of costs to investors effectively. Also, we believe that the proposed tabular presentation of the fee summary is an efficient way to present fee information, including the new dollar-based presentation, in a manner that investors can easily read and understand.[574]

Under the proposal, the "Ongoing Annual Fee" amount generally would be the same figure that funds currently report as "Total Annual Fund Operating Expenses" (*i.e.*, the fund's expense ratio).[575] In addition to direct and fixed fees, such as management fees, this expense ratio figure currently includes certain performance expenses that are not operating costs reflected in a fund's statement of operations but rather are indirect expenses paid by the fund to generate performance and excludes other such expenses. Performance expenses currently reflected in a fund's expense ratio include AFFE, interest expense, and dividends paid on short sales (although AFFE is not included in the fund's statement of operations).[576] However, the expense ratio does not currently reflect all or even most of the material performance expenses that similarly affect the fund's performance. These include costs associated with the

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from Mexico, NBER Working Paper 14538 (Dec. 2008), *available at* https://www.nber.org/papers/w14538 (finding that providing fee disclosures to Mexican investors in peso rather than percentage terms caused financially inexperienced investors to focus on fees).

574 *See* Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27 (requiring a tabular presentation of fees in variable contract summary prospectuses).

575 The "Ongoing Annual Fee" amount may differ from the currently reported "Total Annual Fund Operating Expenses" figure to the extent that a fund discloses AFFE in a footnote instead of reflecting that amount in the "Ongoing Annual Fee" figure under the proposed amendments. *See infra* Section II.H.1.g.

576 *See infra* Section II.H.1.g (proposing certain amendments to the scope of AFFE disclosure).